

1 Introduction

Private health insurance companies in various countries are allowed to vary their services and pricing options based off various information about the customer and the risks involved (Boyer-Kassem & Duchêne, 2020). In this article, we aim to analyse this practice and its various implications through both an ethical and a policy-based framework

2 Methodology

The question of whether companies should be allowed to vary pricing based on statistical profiling is a very broad one. Naturally, we will analyse the issue by looking at various subsets of the risk factors involved for profiling. Such subsets can be defined based (as seen in (Boyer-Kassem & Duchêne, 2020)) based on criteria like whether the agent is responsible for the risk factor, whether the risk factor is causally linked to health costs, and whether the agent can be reasonably expected to know about the aforementioned causal link.

Before we proceed, we will outline a few examples of risk factors commonly used for statistical profiling that fall on the different sides of each criteria above. For the first criteria, age is a risk factor the agent is not responsible for, while their level of physical activity is one they usually are. For the second criteria, people who smoke are more likely to attain certain diseases (todo: add source), which lead to higher medical costs (todo: insert source), thus whether the agent smokes is a risk factor that is causally responsible for the increased health costs. On the other hand, while a person's place of living could be used for profiling if correlation was observed with health costs, without requiring the causality link to exist (as mentioned in (Boyer-Kassem & Duchêne, 2020)). As for the last criteria, while people in developed countries can, in the 21st century, be reasonably expected to know about the health risks of smoking (insert source), this would not have been the case a hundred years ago (insert source).

2.1 The ethical framework

We will analyse the ramifications of the different risk factors through two frameworks: an ethical and a policy-based one. For our ethical analysis, we will consider the ethical theories of consequentialism and deontology.

In particular, we will use utilitarianism (a form of consequentialism). According to (Rachels & Rachels, 2022, Chapter 7), utilitarianism is based around the "Principle of Utility", that is, the principle that all actions should attempt to maximize the so called "utility" produced. Intuitively, our analysis through the lens of utilitarianism will focus on the consequences profiling using different classes of risk factors has on the parties involved.

Second, we will analyse the issues through the lens of deontology. Kant's ethics (i.e. deontology) are based around the idea that humans should "always be treated as an end and never as a means only", which he formulate into a categorical imperative (a law of morality, which all actions must abide by): "Act so that you treat humanity, whether in your own person or in that of another, always as an end and never as a means only" (Rachels & Rachels, 2022, Chapter 10). A more concrete equivalent formulation of this imperative, as stated by (University of Groningen, 2025, Section 4.2.1) is the following: "Act only according to that maxim whereby you can, at the same time, will that it should become a universal law".

2.2 The policy framework

According to ([University of Groningen, 2025](#)), “policy is a preferred course of action, with the desired consequence of solving a problem”.

References

- Boyer-Kassem, T., & Duchêne, S. (2020). On discrimination in health insurance. *Social Choice and Welfare*.
- Rachels, J., & Rachels, S. (2022). *The elements of moral philosophy, 10th edition*.
- University of Groningen. (2025, January). *MSEPA Syllabus, Version 2.4.2*. (Retrieved from internal course materials)